CHAPTER EIGHT

INSTITUTIONALIZING REFORMS

Rumblings of Discontent

Change of leadership in large companies is often tumultuous. In the Tata Group, a conglomerate owned largely by trusts created by family members, anything but a smooth transition would raise eyebrows. But Ratan's ascension was unlike the seamless shift that took place when J.R.D. Tata had stepped into the shoes of Sir Nowroji Saklatvala, the third group chairman. After Ratan's appointment, the rumblings of anger and disappointment from aspirants who lost out in the race reverberated. Knives were out.

Ratan suddenly faced an avalanche of bad press and a group of disappointed satrap. 'RNT was belittled as incompetent, a born failure and the newspapers had a heyday' running him down, recalls Roger Pereira, JRD's confidant.

The media was rife with the speculation that there would be a power struggle. 'According to business know-alls, two doughty chieftains of [the] Tata empire, Mr Russi Mody of TISCO and Mr Darbari Seth of Tata Chemicals, are not happy at the elevation of Mr Ratan Tata,' wrote a leading newspaper. The veterans were convinced that they had a greater claim to succeed JRD, whose attempt to lessen the disappointment among the hopefuls by publicly praising them did not help.

Ratan too was aware of the undercurrents against him. 'When I came in, I faced a fair amount of dissidence that was not visible outside,' he told journalists some ten years later. In another interview he gave on the eve of stepping down as chairman, Tata Sons, he added, 'While they may have acceded to his [JRD's] wish that I take over the chairmanship—and this happened suddenly—I must confess that I did not feel any sense of